



ORACLE FUSION CLOUD • SCM

SCM Approvals Overview

BPM Worklist vs. FSM Approval Rules • Serial, Parallel & Consensus Routing • Requisitions, POs & Agreements

Requisitions

Purchase Orders

Agreements

Supplier Registration

Sourcing

Generic reference deck for implementation & functional teams

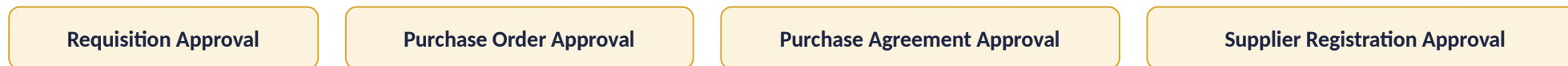
What Is SCM Approval Management?

The engine that routes Procurement documents to the right approvers

Oracle Fusion SCM routes Procurement documents — requisitions, purchase orders, purchase agreements, and supplier registrations — through Approval Management Extensions (AMX), built on the Oracle BPM / SOA Suite. Rules are administered under Define Approval Management for Procurement, and each document type is seeded with one or more stages and participants to give flexibility in how approvals are routed.



Core SCM approval workflows



Two Ways to Configure SCM Approval Rules

Procurement is the one SCM area where FSM is a full, standalone rule builder — not just a launch point

FSM

Define Approval Management for Procurement

- Simplified rule builder: each rule is a Rule Name, Condition, and Action
- Covers Requisitions, Purchase Orders, Purchase Agreements, and Supplier Registration
- Supports Supervisory Hierarchy (incl. Cost Center Manager chain), Position Hierarchy, Job Level, Approval Groups
- No backend IDs required — business-user friendly and the default path for most rules
- In practice, the large majority of rules can be built entirely in FSM

BPM Worklist (AMX)

Manage Purchasing Document Approvals (BPM)

- Required when a rule must key off a Descriptive Flexfield (DFF) attribute — not supported in FSM
- Requires referencing backend IDs directly; more technical to configure
- Oracle advises against modifying seeded stages/participants here — known issues exist
- Rules imported into BPM via SOA Composer don't always sync back to FSM automatically
- Used for the small subset of rules that exceed FSM's condition-building capability

Unlike Financials and HCM, Procurement's FSM pages are a full rule builder, not just a simplified layer — most implementations configure the vast majority of rules in FSM and reserve BPM for DFF-driven exceptions.

Approval Routing Types in SCM

Participant type and voting regime together decide how a rule resolves

SERIAL

Approvers notified one at a time — e.g. escalating up the supervisory or job-level hierarchy as requisition amount increases.

PARALLEL — CONSENSUS

All participants notified at once; every approver must approve for the rule to pass — used for joint sign-off scenarios.

PARALLEL — FIRST RESPONDER

All participants notified at once; the first approve or reject action decides the outcome for the group.

FYI

Can't directly impact the outcome, but can add comments or attachments — e.g. notifying a category manager.

List Builders — how the approver list is generated

1

Supervisory Hierarchy

Manager chain, incl. the Cost Center
Manager chain in FSM

2

Position Hierarchy

Routes based on defined position
relationships

3

Job Level

Climbs the hierarchy until sufficient
job level is found

4

Approval Groups

Predefined static or dynamic group of
users

5

DFF Attribute

Custom flexfield-driven routing —
BPM only

Choosing the Right Approach

Decision guide and implementation best practices for SCM

Use FSM when...

- Configuring Requisitions, POs, Agreements, or Supplier Registration
- Rules are amount, category, or hierarchy driven
- Business users should self-maintain rules without IT

Use BPM when...

- A rule must key off a Descriptive Flexfield (DFF) attribute
- Custom stage or participant logic beyond seeded options is required
- Troubleshooting FSM/BPM synchronization after a rule import

Implementation Best Practices

- 1 Start rule design in FSM and reserve BPM only for DFF-driven exceptions
- 2 Use the Cost Center Manager chain available in FSM's supervisory hierarchy rather than replicating it in BPM
- 3 Avoid modifying seeded participants directly in the BPM administration pages
- 4 Remember cross-country requisition amounts convert to USD before rule evaluation — test accordingly
- 5 Document any BPM-only rules separately, since FSM/BPM sync after a SOA Composer import isn't guaranteed